

highest percentage of on-line traders. Why do they do it? Twenty-six percent said for the “fun/challenge” of it.

Percentage of traders, by age, who traded online in 2005:

Age 18–40 (19%)

Age 41–61 (15%)

Age 61 and older (10%)

Source: Forrester Research

Many of the young adults that trade on-line have placed orders from schools, mostly universities.

The lure of making money with little effort other than a click of the mouse is tremendously appealing to many young adults. Combined with this thrill is the need for immediate gratification. Investing should be a long-term proposition, but many young adults are more concerned with making money now. Slow steady increases in their portfolio are not acceptable when they could have bigger returns instead. Unfortunately, the route to quick profits is usually through high-risk speculation.

Daniel had been an occasional gambler in college sports matches while he was at Ohio State University. Daniel had even won a few big purses. He gambled mostly for amusement. After graduation, Daniel married and began to concentrate on building a life with Penny. Away from his friends at school, he never bet on sports again.

However, during a period when he was at home recovering from a motorcycle accident, he discovered a new form of gambling—the stock market. A friend introduced him to day trading and told him he could make lots of money with little effort. Since Daniel’s income had precipitously dropped after he began to receive disability payments, he thought he could use the extra money.

